NOTE K – DEFERRED TAXES

Financial Accounting Standard No. 109 requires the recognition of deferred tax liabilities and assets for the expected future tax consequences of events that have been included in the financial statement or tax returns. Under this method, deferred tax liabilities and assets are determined based on the difference between financial statements and tax bases of assets and liabilities using enacted tax rates in effect for the year in which the differences are expected to reverse.

For the year ended December 31, 2008, the Company recorded state income taxes totalling to $4,930.

On January 1, 2007, the Pro-Tech changed from cash basis to accrual basis for the recognition of income taxes. The Company elected to pro-rate the initial tax catch up over 4 years as allowed by Section 481. At December 31, 2008, the Company had for federal income tax purposes a net deferred tax liability of $258,870.

NOTE K – DEFERRED TAXES (continued)

Components of the net deferred tax liability is as follows:

	Year Ended December 31, 2008
Deferred tax assets	
Allowances	$ 38,500
Total gross deferred tax assets	**38,500**
Deferred tax liabilities	
Section 481 carryforward	$ 297,370
Total gross deferred tax liabilities	**297,370**
Net deferred tax liability	**$ 258,870**